Concept 1 - Introduction

1) The Micro, Small and Medium Enterprises (MSME) sector has emerged as a highly dynamic and important sector of the economy.
2) It provides large employment opportunities with comparatively lower capital investment than large industries.
3) MSMEs also promote industrialization among ordinary people, enabling wider participation in economic activities.
4) This helps in balanced regional development and ensures a more equitable distribution of economic growth.
5) MSMEs support large industries by functioning as ancillary or supporting units.
6) The primary responsibility for the promotion and development of MSMEs lies with the State Governments.
7) However, the Central Government supports and supplements the efforts of the State Governments through various initiatives and policies.
8) Most of the textile and handicraft sector in India is run by artisans, small traders and daily wage earners. Khadi and Village Industries (KVI) are two national heritages of India.

Concept 2 - Definitions and conditions of MSME

Enterprise: In the context of the MSMED Act, 2006 an "enterprise" is defined as any entity engaged in the manufacturing or production of goods, or providing or rendering services, that meets specified criteria related to investment in Plant & Machinery or equipment and annual turnover.

Micro Enterprises:

Investment in Plant and Machinery or Equipment: Not more than ₹ 2.5 crore.

Annual Turnover: Not more than ₹ 10 crores.

Small Enterprises:

Investment in Plant and Machinery or Equipment: Not more than ₹ 25 crores.

Annual Turnover: Not more than ₹ 100 crores.

Medium Enterprises:

Investment in Plant and Machinery or Equipment: Not more than ₹ 125 crores.

Annual Turnover: Not more than ₹ 500 crores.

Calculation of investment in P&M or equipment - Only tangible assets (excluding land and furniture/fittings) are included.

For turnover calculation, exports are excluded.

If an MSME moves to a higher category or out of MSME scope, it continues to receive non-tax benefits for 3 years from the date of transition.

Concept 3 - Contribution of MSME to Indian Economy

a) The MSME sector, with 3.6 crore units and 8 crore employees, is the second-largest employer in India after agriculture.
b) It contributes 45% to industrial production.
c) It accounts for 40% of India's exports.
d) It constitutes 37% of the GDP.
e) It contributes 31% to the service sector.

Concept 4 - Key Provisions of the MSMED Act:

Section 9: Central Government can issue notifications and formulate schemes for:
a) Facilitating the promotion and development
b) Enhancing competitiveness
c) Employee skill development
d) Management and technological upgrades
e) Marketing assistance and infrastructure facilities
f) Cluster development and linkage strengthening

Section 10: Ensures timely and smooth credit facilities for MSMEs.

Concept 5 - Role of the Ministry

The Ministry of Micro, Small and Medium Enterprises (Central Government) is a branch of the Government of India. It supports the State Government with Nodal Agencies through various initiatives & schemes. The Ministry of MSME formulates policies, designs programs, and assists in promoting MSMEs, fostering entrepreneurship, and enhancing employment opportunities.

Concept 6 - National Board for Micro, Small and Medium Enterprises

The MSME Board is an advisory body established under the MSMED Act,2006. The Central Government has established, a Board known as the National Board for MSME with Head Office at Delhi.

Concept 7 - Functions of the National Board for MSME

a) Assess factors affecting MSME promotion and development.
b) Examine and review the impact of Central Government policies and programs on MSMEs.
c) Provide recommendations on MSME-related matters.
d) Address issues referred by the Central Government to facilitate MSME promotion and development.
e) Offer advice to the Central Government on the use of the MSME Fund.

Concept 8 – Memorandum of MSME

Any person who intends to establish,

a) a micro or small enterprise, may, at his discretion; or
b) a medium enterprise engaged in providing or rendering of services may, at his discretion; or
c) a medium enterprise engaged in the manufacture or production of goods pertaining to any industry.

shall file the memorandum of micro, small or of medium enterprise with such authority as may be specified by the State Government.

However, any person who, before the commencement of this Act, established--

a) a small scale industry and obtained a registration certificate, may, at his discretion; and
b) an industry engaged in the manufacture or production of goods pertaining to any industry having investment in plant and machinery of more than ₹ 1 crore but not exceeding ₹ 10 crore filed an Industrial Entrepreneur's Memorandum.

shall within 180 days from the commencement of this Act, file the memorandum, in accordance with the provisions of this Act.

Concept 9 - Measures for MSME Promotion, Development and Competitiveness

The Central Government has the authority to issue programs, guidelines, or instructions to:

a) Facilitate Promotion and Development of MSMEs.
b) Focus on skill development for employees, management, and entrepreneurs.
c) Provisioning for technological advancements within MSMEs.
d) Support for marketing assistance, infrastructure and cluster development to strengthen backward and forward linkages.
e) Formulate policies and practices regarding credit availability to MSMEs.
f) Implement procurement preference policies to support MSMEs.
g) Oversee grants provided by the Central Government and their administration.

Concept 10 - Dedicated Funds for the MSME Sector

The Dedicated Fund called the MSME Fund will be constituted by notification, credited with grants from the Central Government. The Central Government will administer the Funds according to prescribed procedures. The Funds are exclusively for the MSME sector's benefit. The Central Government is responsible for coordinating and ensuring timely utilization and release of funds according to prescribed criteria.

Concept 11 - Delayed Payments to MSMEs

Where any supplier supplies any goods or renders any services to any buyer, the buyer shall make payment on or before the date agreed upon between him and the supplier in writing or, where there is no agreement, before the appointed day. The period agreed upon between the supplier and the buyer in writing shall not exceed 45 days from the day of acceptance or the day of deemed acceptance.

- "appointed day" means the day following immediately after the expiry of the period of 15 days from the day of acceptance or the day of deemed acceptance of any goods or any services by a buyer from a supplier.
- "the day of acceptance" means-
  (a) the day of the actual delivery of goods or the rendering of services; or
  (b) where any objection is made in writing by the buyer regarding acceptance of goods or services within 15 days from the day of the delivery, the day on which such objection is removed by the supplier.
- "the day of deemed acceptance" means, where no objection is made in writing by the buyer regarding acceptance of goods or services within 15 days from the day of the delivery, the day of the actual delivery.

If payments are delayed as required above, the buyer is liable to pay compound interest with monthly rests to the supplier on that amount from the appointed day or from the date immediately following the date agreed upon. The interest rate is 3 times the bank rate notified by the Reserve Bank. Interest on delayed payments is not allowed as a deduction from income.

Concept 12 – MSME Facilitation centres by State Government

The State Government shall establish one or more Micro and Small Enterprises Facilitation Councils, at such places, exercising such jurisdiction. The Micro and Small Enterprise Facilitation Council shall consist of not less than 3 but not more than 5 members to be appointed, namely -

a) Director of Industries, or any other officer not below the rank of such Director.
b) One or more office-bearers or representatives of associations of MSME in the State; and
c) One or more representatives of banks and financial institutions lending to MSME or
d) One or more persons having special knowledge in the field of industry, finance, law, trade or commerce.

MSME Facilitation Centres help resolve disputes, especially related to delayed payments, for micro and small enterprises. These centres have overriding authority, meaning their decisions take precedence over other laws. They also assist with the smooth closure of MSMEs when needed and the State Government has the power to make rules for their functioning.

Concept 13 - Schemes and Programme

The schemes/programmes undertaken by the Ministry and its organizations seek to facilitate -

a) flow of credit from financial institutions/banks
b) technology upgradation and modernization
c) infrastructural facilities
d) modern testing facilities and quality certification
e) entrepreneurship development and skill upgradation
f) support for product development, design intervention and packaging
g) welfare of artisans and workers
h) assistance for better access to domestic and export markets etc.

The Government of India introduces several schemes for the benefit of these MSMEs. Following are the Schemes/ Programmes –

Single Window Registration Process

Facilitated by the Champions Control Room under the Ministry of MSME, along with Development Institutes (DIs) and District Industries Centres (DICs) working under state government, enables MSMEs to complete all necessary registrations and access government support through a single point of registration – Udyam Registration Portal.

National Small Industries Corporation Limited (NSIC)

Established in 1955, NSIC's main function is to promote, aid, and foster the growth of MSEs in the country, typically on a commercial basis. It provides various support services to Micro and Small Enterprises including raw material procurement, product marketing, credit rating, technology acquisition, and adoption of modern management practices.

Digital MSME Scheme

Aimed at promoting Information and Communication Technology (ICT) adoption in the MSME sector. Provides services such as ERP, accounting, manufacturing design, and regulatory compliance including GST.

Emergency Credit Line Guarantee Scheme (ECLGS)

Launched to provide 100% guarantee coverage to banks and NBFCs for extending emergency credit facilities to MSMEs during the COVID-19 crisis. It is extended till 31st March 2023 to provide relief to MSMEs. Offers capped interest rates and a maximum tenure of 4 years with a 12-month moratorium period on the principal amount.

Secured Business Loan for MSMEs (SIDBI)

Small Industries Development Bank of India (SIDBI), a primary financial institution for MSMEs, offers the Secured Business Loan (SBL) scheme. Designed to provide faster credit dispensation to MSMEs, especially in manufacturing and service sectors. Offers loans upto Rs. 10 crores with a maximum repayment tenure of 10 years, including a moratorium period.

Prime Minister Employment Generation Programme (PMEGP)

Credit-linked subsidy scheme introduced by the Government of India to promote employment generation through micro-enterprises. Aims to establish micro-enterprises in rural and urban areas, providing credit-linked subsidies to entrepreneurs.

MSME Samadhaan (Delayed Payment Monitoring System)

It is an online platform created by the Ministry of MSME to help Micro and Small Enterprises in filing the complaints regarding delayed payments. These are sent to Micro and Small Enterprises Facilitation Council (MSEFC) of the concerned State or Union Territory.

Procurement Preference Policy

The policy provides for reservation of certain items to be from MSME only, price preference, preference to women entrepreneurs, on programmes to MSMEs, special renter development etc. This is to promote the growth of MSMEs by increasing their participation in government tenders, and ensure they receive fair opportunities.

Recent Government Announcement for MSME Sector Relief

The Finance Ministry announced several financial relief measures in the last budget to support MSMEs. The key initiatives are:

a) ₹ 3 Lakh Crore Emergency Working Capital Facility for Businesses, including MSMEs

- Additional Working Capital Finance: Relief to businesses for an amount of 20% of the outstanding credit (as on February 29, 2020) at a concessional interest rate.

b) ₹ 20,000 Crore Subordinate Debt for Stressed MSMEs

- Provision of ₹20,000 crores subordinate debt for 2,00,000 stressed MSMEs (Non-Performing Assets or stressed units).
- Government to support this with ₹4,000 crores to the Credit Guarantee Trust for Micro and Small Enterprises (CGTMSE).

c) Subordinate Debt to Promoters of MSMEs: Banks will provide subordinate debt to MSME promoters equal to 15% of their existing stake, subject to a maximum of ₹75 lakhs.

d) ₹ 50,000 Crore Equity Infusion through MSME Fund of Funds (FoF)

- The government will set up an MSME Fund of Funds (FoF) with a corpus of ₹10,000 crores.
- The FoF will provide equity funding support for MSMEs and will operate through a Mother Fund and Daughter Funds.
- With a leverage ratio of 1:4, it is expected to mobilize equity of about ₹50,000 crores